

Marco Bellifemine

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DOCTORAL STUDIES	London School of Economics 2023–2027 (expected) PhD in Economics. Supervisors: Benjamin Moll, Ricardo Reis. REFERENCES Benjamin Moll Ricardo Reis London School of Economics London School of Economics b.moll@lse.ac.uk r.a.reis@lse.ac.uk
PRIOR EDUCATION	London School of Economics 2021–2023 MRes in Economics. Distinction (<i>Sir John Hicks Prize</i>) Bocconi University 2018–2021 MSc in Economics and Social Sciences. 110/110 <i>cum laude</i> . Bocconi University 2015–2018 BSc in Economics and Social Sciences. 110/110 <i>cum laude</i> .
RESEARCH FIELDS	Macroeconomics, Finance
JOB MARKET PAPER	Leveraged Beliefs: Investors Expectations and the Financial Accelerator with A. Couturier and J. Tozzo <i>Coming soon.</i>
PUBLISHED PAPERS	Monetary Unions with Heterogeneous Fiscal Rules with A. Couturier and R. Jamilov · <i>Journal of International Economics</i> Coverage: Lecture by G. Giorgetti, Italian Minister of Economy and Finance (2025) <i>This paper develops a multi-country Heterogeneous-Agent New Keynesian (HANK) model of a monetary union with ex-ante heterogeneity in legacy public debt across member states. We calibrate the model to the euro area and show that, following symmetric aggregate shocks, the systematic monetary policy reaction induces heterogeneous national outcomes, driven by differences in fiscal space. This generates a trade-off between union-wide macroeconomic stabilization and cross-country synchronization of economic activity for the central bank. We characterize a possibility frontier between union-wide inflation stability and cross-country synchronization, which is traced out by varying the degree of the central bank's hawkishness towards inflation. We study the role of deficit caps, fiscal and political unions, and augmented Taylor rules as instruments to navigate the stabilization-synchronization trade-off.</i>
WORKING PAPERS	The Regional Keynesian Cross with A. Couturier and R. Jamilov · <i>Revise and Resubmit, Review of Economic Studies</i> Coverage: Speech by P. R. Lane, ECB Chief Economist (2024)

We study how regional heterogeneity shapes the aggregate transmission of monetary policy and its distributional implications across space. We build a multi-region Heterogeneous-Agent New Keynesian model with 3,140 U.S. counties and cross-county differences in (i) intertemporal Marginal Propensities to Consume (MPCs) and (ii) non-tradable employment shares. We analytically characterize the nationwide consumption response to monetary policy in terms of the joint distribution of (i) and (ii). Using U.S. and Italian micro-data, we construct novel empirical measures of regional MPCs to validate our theory. Quantitatively, geographic heterogeneity leads to large distributional consequences of monetary policy across space and can sizably amplify its aggregate effects.

The Sentiment Channel of Fiscal Policy

with A. Couturier and J. Tozzo

How can government spending stimulate the economy? We uncover a new transmission channel — the sentiment channel — by showing that government spending makes firms overoptimistic about future demand, thereby stimulating investment and output. We construct a novel dataset linking microdata on Italian firms’ sales, sales forecasts, and public procurement contracts. Using a natural experiment that shifted public spending across Italian municipalities, we find that an increase in government demand makes firms systematically overoptimistic about their future sales. This optimism is pervasive, as firms also raise their expectations about export sales. To interpret these findings, we develop a theory of expectations in which sentiment, a variable shaped by recent sales shocks, rises with public demand shocks and makes firms overoptimistic about both private and public sales. Incorporating sentiment into a q -theory of investment, we show that financial frictions are crucial for determining how belief distortions translate into real activity: investment rises with sentiment, but the effect is weaker for financially constrained firms. We embed this behavioral model of investment in a heterogeneous-firm New Keynesian model: calibrating the behavioral bias to our empirical estimates, we find that, by crowding-in investment, the sentiment channel nearly doubles the government spending multiplier. This amplification is state-dependent: the multiplier was a third smaller during the Global Financial Crisis than in recessions without financial distress.

A Distributional Theory of Household Sentiment

with M. Bellifemine and S. Hosseini

We embed diagnostic expectations into an otherwise standard incomplete-markets model of consumption-saving with idiosyncratic income risk. In this framework, households form beliefs that overweight recent income shocks, a bias we summarize with a sufficient statistic—sentiment—that distorts perceptions of future income. We discipline our model empirically using the Italian Survey of Household Income and Wealth. Taking advantage of a continuous-time formulation, we derive a closed-form characterization of how sentiment dampens the saving motive under optimism and amplifies it under pessimism, causing households to overreact to income shocks in their consumption-saving choices. We then show that the interaction of sentiment with borrowing constraints generates a “diagnostic poverty trap”: positive shocks fuel over-consumption rather than asset accumulation, making it harder for constrained households to escape the hand-to-mouth state. This simple behavioral friction rationalizes the persistence of hand-to-mouth households observed in the data and helps match their empirical prevalence without invoking illiquid assets or preference heterogeneity.

HBANK: Monetary Policy with Heterogeneous Banks

with R. Jamilov and T. Monacelli

We revisit the bank lending channel of monetary policy transmission in a Heterogeneous-Bank New Keynesian (HBANK) model with endogenous bank default risk. Using a sufficient-statistic approach, we show that the combination of banks’ heterogeneity in the marginal propensity to lend and costly insolvency amplifies the real effects of monetary policy shocks. The central bank faces a trade-off between macroeconomic and financial stability: contractionary monetary policy shrinks bank net worth, raising the aggregate probability and resource cost of default. Addressing persistent inflationary pressure comes at the price of exacerbating financial fragility. Automatic micro-

prudential regulation—targeting only the top quartile of banks—effectively mitigates the macroeconomic-financial stabilization trade-off. We provide empirical evidence supporting the heterogeneous effects of monetary policy on bank assets and insolvency probabilities, reinforcing the necessity of incorporating bank-level heterogeneity in monetary policy design.

WORK IN PROGRESS	The Marginal Propensity to Invest: Evidence from Italian Public Debt Settlements with A. Couturier	
POLICY WRITINGS	The Sentiment Channel of Fiscal Policy with A. Couturier and J. Tozzo · VoxEU, December 2025	
SEMINARS & CONFERENCES (excluding presented by coauthors)	Barcelona Summer Forum · CESifo Area Conference on Macro with Micro Data · LSE LSE T2M Amsterdam · Prague Heterogeneous Agents Conference · EEA-ESEM · PSE Macro Days · LSE Oslo Macro Conference · Tilburg GIFT European Winter Meeting of the Econometric Society	2026 2025 2024 2023 2022
PROFESSIONAL ACTIVITIES	Scientific committee for the EAYE annual meeting	2026
REFeree SERVICE	American Economic Review, Review of Economic Studies, Journal of Monetary Economics, Economica	
TEACHING	London School of Economics Class teacher for EC442, Macroeconomics for MRes Students (PhD) Class teacher for EC2B1, Macroeconomics II (Undergraduate) Bocconi University Teaching assistant for 30459, Macroeconomics and Economic Policy (Undergraduate)	2023–2026 2022–2023 2020–2021
AWARDS & GRANTS	Sir John Hicks Prize for outstanding performance in MRes Economics STICERD Hayek Programme PhD Grant, 5,600£ (with A. Couturier) Bank of Italy <i>Bonaldo Stringher</i> Scholarship LSE Departmental Scholarship Bocconi Merit Award Telecom Italia Scholar	2022 2022 2022–2023 2021–2026 2018–2020 2018–2020
OTHER EXPERIENCE	Bocconi University Research assistant to Prof. Tommaso Monacelli	2020–2021
CITIZENSHIP	Italian	

LANGUAGES

Italian (native) · English (fluent) · French (good)